

The Social Radars

S4: Harj Taggar, Partner, Y Combinator

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Jessica: I'm Jessica Livingston. AndCarolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

Carolynn, I cannot tell you how excited I am for today's show. That is because today we have Harj Taggar on the show. He is a partner at Y Combinator, but we have known Harj forever. Practically since YC got started. He applied with his cousin, Kulveer, in 2007, we funded him. But I have so many questions I'm already getting excited to just get started. So, welcome Harj.

Carolynn: Welcome, Harj.

Harj: Thank you. Thanks so much for having me.

Jessica: So, Harj, it's funny, I was thinking basically your entire professional career post-college has been in the orbit of Y Combinator somehow. So, we have a lot to cover.

Harj: Yeah. Basically my entire adult life has been intertwined with YC.

Carolynn: Do you ever wonder what it's like, what it would be like if you didn't have it? What you'll do non-YC?

Harj: I can't fathom.

Carolynn: Can't imagine it. All right.

Jessica: I wouldn't say this about many people, but I think Harj knows Y Combinator better than I do, certainly at this point. We're going to start at the very beginning because we go back so long ago. I met you when you came to Cambridge to interview for the Winter '07 batch with Kulveer, who went on to also found another YC startup called Zeus. And you guys applied with a company called BOSO, B-O-S-O.com.

Harj: Carolynn's favorite name.

Carolynn: That name, I need that name.

Jessica: But the thing is I have to explain for the younger people who listen to this podcast, that BOSO, for Carolynn and me, means Bozo the Clown, B-O-Z-O.

Carolynn: Okay. But let me stop you there. It's BOSO.

Jessica: I know it's BOSO.

Harj: The immigration officers at SFO Airport also thought it was Bozo the Clown. They weren't impressed.

Jessica: That was one of my questions, so I'm just going to ask you now. What did the immigration officers say when you said that?

Harj: The whole idea started as Kulveer and I's side project in college. It was there's no way for us to buy and sell textbooks or things to other college students. It is a common college student idea, and we thought we were going to be really smart because B-O-S-O was an acronym for buy or sell online. And Bozo the Clown didn't have the same connotations in England as it does in the US. And so we were really happy that we were able to get BOSO.com and just call that our company name.

And then when we moved, I was jumping ahead a little bit, but when we moved out to do YC in January 2007, we didn't actually have a visa, so we were just there for three months on the tourist visa. And the immigration officer asked us, "What are you doing here?" And we're like, "We are just here to have some meetings and learn about how to do startups." "Oh, do you have a company?" We're like, "Yeah." "What's it called?" "BOSO." They sent us immediately to the secondary room.

Jessica: Are sure it's because of the name and not that you had a company.

Harj: I'm sure there were a bunch of factors, but I didn't think the name helped.

Jessica: Oh, my gosh, it's so funny. But you wouldn't really think it's funny if you didn't know Bozo the Clown, who is so annoying. Anyway, so, you first flew to the interview. Do you remember your interview at the Garden Street office?

Harj: I do. Well, it is long. So, this would've been probably around November 2006, something like that. And we were in Boston. And the night before, a bunch of the people who were interviewing all got together for dinner. I definitely remember that. So, that's where I met the Weebly founders for the first time.

Jessica: David Rusenko was on the show.

Harj: Yeah. Oh, cool. Awesome. Dave was there, Chris, Dan. It was actually even before the interview, it was actually just a really cool group. It was our first time being around at an entire dinner table of startup founders and everyone was just very interesting and really into it. And it just felt like even if we don't get into YC, this was really worth it just to meet a bunch of other startup founders, which we didn't know many of. And then the interview itself. Yes, I remember. I remember, what's the? It's Garden Square?

Jessica: Garden Street-

Harj: Garden Street. That's it.

Jessica: ... in Cambridge. Yeah.

Harj: I remember coming in. I remember you, Paul, Trevor, Robert. And the thing that really stood out to us about the YC interview is I had just graduated college, Kulveer was like six months out of college, and we were really used to, in England, nobody actually taking us seriously. Anytime we would try and say, "We've got this startup," and either we were trying to look for investment or we're trying to get customers, no one would take us very seriously and just treat us children.

And say, "I'd be happy to mentor you if you'd like," or just, "I have an advisory business that if you guys can scrape together some pennies, you can pay me monthly in cash for my advisory services." It was pretty grim. And the YC interview was the first time it just felt like we were treated like adults. And actually there was just excitement around the idea and building on the idea.

It was a totally new experience for us. I just remember Paul being like, "You know you guys are going to kill eBay. If you get all the students on your trading website, then you keep them when they graduate and then the next thing you know, you're eBay, you're killing eBay." And it was just the first time we'd had an energizing conversation about what we were working on versus being belittled or treated like kids.

Carolynn: Did anyone in the interview say anything about the name?

Harj: I can't remember now. I don't think so. I feel like maybe there's only 10 minutes, so maybe-

Carolynn: There's no time. No time.

Harj: ... maybe we got it past something maybe.

Jessica: We had no time for jokes.

Harj: No time for jokes.

Jessica: Living in England now myself, I cannot even imagine what the startup scene was like in 2006. It must have been practically non-existent, frankly.

Harj: Yeah.

Jessica: Yeah. So, we accept you and now you guys are coming over. Correct me if I'm wrong, but you came from a pretty extreme version of the immigrant parent scenario, where they sacrificed a lot. You went to Oxford, you studied law. When you said, "We are moving to California for three months to work on this startup that Kul and I have," what did your parents think?

Harj: At this point, we weren't really on speaking terms, which was awkward because I was living with them. But the backdrop to what you said where my parents were both immigrants, so they both, they didn't have college educations. They moved to England. They worked minimum wage jobs and all their hopes and dreams were that my sister and I would go to college and get well-paying jobs at safe, stable, respectable companies. And so that's really what they wanted for me when I graduated.

The startup thing had never, it was never a deliberate decision of, I really want to be a startup founder and not get a really well-paying job. It just kept going and going. And then YC was the final catalyst of this is something we should really give a shot at and move halfway across the world to see if we can make it something real.

But my parents at this point, I was at home and from their perspective, not doing much because I was just on my laptop a lot at home. And so I think actually telling them that someone was about to give us money, even though it wasn't very much, but just giving money and that we are going somewhere, it gave some stamp of credibility to it. Well, at least he's not at home and if someone halfway across the world is willing to invest, then maybe there's something here.

So, I think they were actually pleased that it felt like some form of progress to them. Definitely better than being at home, not seeming to be doing much.

Carolynn: So I'm imagining Kul's parents calling up Harj's parents and then they all be like, "Your son is ruining my son." And it's like, "No, your son is ruining my son." Was there any of that?

Harj: I haven't thought about this for a long time. I think there was a little bit. I think Kulveer's mum herself was, she'd started a travel agency business and she had a little bit more of an entrepreneurial streak. My parents had started a baby clothes store, funny enough at some point, and it hadn't gone well at all. They'd ended up in debt and spent years paying it back. So, that's why they were very anti the whole idea of starting a business.

Jessica: Oh, my gosh.

Harj: Yeah. But Kulveer's mum. I think it was a little bit more enterprising. So, if anything, the dynamic was Kulveer's mum talking my parents into, "Let them have a shot at it. It's cool that they're going to try something and if it doesn't work, they can always come back and get jobs."

Jessica: Wow, I did not know that. So, you moved to California, I shouldn't say moved. You were on a tourist visa, so you visited-

Harj: I was on a tourist visa.

Jessica: ... California, and your parents were lukewarm at best on the situation. So, the summer went well, you built the product and demo day was a success for BOSO, right?

Harj: Yeah. So, it was a success for Auctomatic. We ended up pivoting during the batch, before pivoting I think was really a popular term.

Jessica: Wait a second. I know that you changed your name to Auctomatic, but wait, what happened?

Harj: So, originally the idea we applied to YC with was essentially a student marketplace for college students in England, and we actually had some traction when we applied to YC with that. We'd started getting known at some of the top colleges in England and people were using it, which I'm probably going to guess for YC back then was unusual. We did actually have this thing launched, people were using it.

But, like I said during the interview, the thing that was really exciting was how this could be a competitor to eBay. And when we came out and started doing the YC dinners, just our own personal level of ambition went up a lot. Just being around, we were meeting all these startup founders and we'd bump into early employees at Facebook and just hearing them talk about, "Facebook is going to take over the world. Everyone in the world is going to be using Facebook," which in 2007 sounded insane to say.

But it was just this level of ambition that went up. So I remember we did office hours with Paul and we said, "We've just been thinking about this a lot, and we are really excited about trying to build something that could compete with eBay and just generally build something that's really big. What worries us is that we're a thing for college students in the UK. The UK probably by itself is not a big enough market. We love being in America, we want to be in America. This is where the center of everything is and we want to build something for this market."

But the idea of a trading site for college students in the US already existed. There were a bunch of people already doing that. And so we were a little bit like, "What do we do? We had this idea which we could keep running with, but we worry it's going to be a niche UK student thing. And what we want to do now that we're out here in the Valley is build something more ambitious."

And the idea that came out of the office hours with Paul was, well, what if we were just, instead of trying to be a marketplace right now, we were a front end. We really made it easy for people to sell things online. And businesses had already been approaching us to say, "We want to sell on your marketplace." And we turned them away because they weren't students. We were like, "What if we actually just made it really easy for any small business to sell anything online?" And we already knew a lot about that from these businesses coming and telling us how they might want to sell things. And if we could get all the businesses using our tool, eventually we could build a marketplace and let anyone come and buy those things.

So, it was a high level thought, but it mapped on to what we had at the time. And so we ended up doing, I would call it a mini pivot. We were still fundamentally the same vision of how we wanted to build this really big marketplace. But it's not going to be just for UK students, we're just going to focus on a really cool experience for anyone to sell stuff

online. And we'll start trying to find businesses in the US in the Valley to start using our software.

And so that's what we did a lot of during YC. We went and we found anyone who was already an eBay power seller. Funny enough, some of our batch mates had, I think Wayne Crosby Center, I remember his uncle or aunt or some relative, he was in our batch, was a really hardcore eBay seller.

And so we spoke to her and she had all these things. She was really up. She was like, "It's so hard to sell multiple things on eBay. It's so frustrating and if you could make this easier for me or automate this for me, I could make so many more sales." And so we just started doing a lot of that during YC, talking to any small business that was selling stuff online.

We changed the name from BOSO to Auctomatic, which is also another terrible name, because it's supposed to stand for automatic auctions. It would've been an okay name if I didn't have an English accent. But in an English accent, it's just incredibly awkward for me to pronounce. So, the naming history wasn't great.

Jessica: Say Auctomatic.

Harj: Auctomatic. And so everyone would think it's Automatic, the WordPress thing versus Auctomatic for automatic auctions.

Carolynn: I was curious how much you guys raised at demo day? Do you remember?

Harj: Not very much. The two angels who invested were Paul Buchheit and Chris Sacca. And so I think we probably, between them, raised a couple of 100 K. So, I think between the YC money and those two, maybe 250,000. Something like that in total.

Jessica: But that's all you need early, early on though, Harj, right?

Harj: Yeah. You don't need very much. It was just us. We weren't paying ourselves very much. We didn't really have any costs. And I think back then that was a decent chunk of money. The seed rounds weren't big like they are now. So, even raising a few \$100,000 was a big deal.

Jessica: Yeah. That's how I remember things back in those days. Remind me then, since I clearly don't remember this story very well, how did the young Collison brothers get involved?

Harj: So, like I said, so we changed our idea into we are just going to build really good software for any small business to sell anything online. And in particular, at that point, eBay is the big marketplace. eBay had an API, we'd connect to the eBay API to make it really easy for eBay sellers to post stuff onto eBay at first. But we had this dream that one day it'll just be like, we'll get them because it's easy to post onto eBay. But once we're big enough, we'll just have a button there to click on to post to our marketplace and we'll just get all the inventories.

So, this was the original idea. And then we finished YC. So, the other part of this story is when you interviewed us, neither Kul nor I were really programmers. And so I remember at the time, YC had never funded anyone that wasn't a programmer. I'd won some high school physics prizes. And so I remember Paul saying, "You are good at physics."

Jessica: Close enough.

Harj: Yeah. He's like, "You're good at physics. You can probably figure out how to program." And so the condition of funding us was I had to learn to program. And so our YC experience was a combination of trying to do a startup and me learning to program. Which funny enough, another YC alumni that Paul had introduced me to, do you remember Srini? This is a total blank, Srini Panguluri?

Jessica: Yes, I do. They did a company that ultimately was called The Wedding something. What was the company that they did?

Harj: The idea you funded them with, I think it was called YouOS. And they were literally-

Jessica: Yes, YouOS.

Harj: They were building an operating system in a browser. There were three really hardcore engineers in 2007 building a whole operating system in a browser, which was crazy. For some reason they pivoted into a wedding planning site, but that came up.

Jessica: That's funny. They were super-duper programmers, I remember that.

Harj: Yeah. So, Srini offered to be my programming tutor. And so I just remembered spending a lot of time with Srini teaching me how to code and build out a site. And we had enough that we had something, we had users, and by demo day, we could show that we could build software. But I always knew that if we were really going to pick up the pace, we probably needed a great programmer.

And actually from Srini teaching me to program, I was like, it's going to take me years before I'm as good as anyone. It is. And so Paul, after YC was over, I remember sending an email saying, "You guys both could probably use a better programmer. And your idea is to one day have all of the buyers come to your marketplace," because you have the server side fix.

"Well, this other person just applied to the next YC batch, and they're a really good programmer. And their idea is Wikipedia meets eBay, where it's like all of the product listings you get on eBay, but it lets a community of people edit them for accuracy and with better reviews. And it's just him and his 16-year-old brother, maybe you should talk to them and just see if you guys have anything in common." I don't think Paul suggested merging, but he was just like, "Why don't you just chat and see if you have something in common, because it seems like you both have something the other person needs." And that was obviously Patrick and John Collison.

This must be summer of 2007. And so to reset our visa, Kul and I had gone back to London. Patrick and John were in Ireland, and Patrick flew to meet Kul and I in London for a weekend to just talk. John, at this point was, he was literally 16, and so he was on the YC application, but John wasn't serious about dropping out of high school to do the startup. And so I think John was more, he would've done YC as a summer project. But Patrick probably needed a real co-founder to make the whole thing seem more real.

And so we spent the weekend in London with Patrick just talking about what he'd built and what we'd built. We just got along really well. Even at 18, he was clearly brilliant and bizarrely, we both actually had this big picture vision of eBay sucks and we really want to build something that competes with eBay.

And we had this Auctomatic thing, which is a way for any small business or anyone who wants to sell lots of stuff online to do that really easily. And Patrick's thing was called Shuppa, which was just a really cool way for people to create product listings and have lots of detail about why it's a really interesting product. And we're like, "Oh, yeah, these two things could totally merge at some point." And we get along pretty well. All three of us want to go back to San Francisco and be there, so why don't we just do it together and work on this thing together?

And so the three of us just teamed up. That became Auctomatic. Patrick was the third co-founder of Auctomatic. John came out for the summer and then went back to school, understandably.

Jessica: We asked him about this when the brothers were on The Social Radars, and that's my favorite story about how he dressed with striped socks and wore shorts, so he looked like a minor and flew as an unaccompanied minor. That must've been to do his work with Auctomatic.

Harj: Yeah. I remember. That was funny.

Jessica: Were you and Kul ever like we have a sixteen-year-old working on our company. What's happening?

Harj: It was a little, ah, man, this is so long ago. But the thing was, Patrick was just so clearly exceptional in every way that it wasn't too much of a leap to believe that his brother would probably be exceptional. Certainly when we first saw John, we were like, "We thought you were 16, not 12." But as soon as you started talking to him, it was clear that the two brothers were pretty special.

Carolynn: Wow. Awesome.

Jessica: Okay. So then what happened to Auctomatic?

Harj: I think for about six months, it was just fun. The software was coming along, it was building, we were getting more users. It was never exploding, but it was making

progress. I think we just liked it, it was the full-on startup experience. We were living and working in this tiny apartment. It wasn't super clean, but it just felt like fun.

I think towards the end of the year, there was just an aspect of we weren't growing really that fast. And we'd realized that we were building this software for people who sold lots of stuff online, which didn't actually apply to any of us. None of us were actually eBay power sellers. None of us had a business selling things online. And so to figure out what to build, we were always relying on other people.

We'd always have to be like we will spend some time building something. And then we'd go and talk to one of these businesses and be like, "Is this what you wanted?" And most of the time they'd be like, "Kind of, but not quite." And then we'd be like, "Oh, okay. Tell us what it is that you actually want." And then we'd go back and build out and come back and just repeat the same process.

And I think that as we got towards the end of that year, I think it just started dawning on us we weren't super excited about this. This wasn't really something we were building for ourselves. And it was a little frustrating to feel like we couldn't really trust our instincts on what to build, that we always had to go and ask other people what it is that they wanted.

And I think our energy level, our morale was starting to get a bit low. I think Patrick had taken a leave of absence from MIT. I think he was starting to think about maybe I should go back to MIT. This thing is not really growing and I'm not that excited about working on it. Kul and I, we started thinking about other stuff. I think the Facebook platform had launched. Social was the big thing. So, anytime we try and talk to any investors about what we were doing, no one cared because e-commerce and making money, businesses that made money were just not interesting. It was all consumer social things.

So everyone just asked us, "So, what's your viral coefficient?" Or, "How is this going to be a consumer thing?" Or, "How does this get viral growth?" And our energy level was low, and through a bunch of very serendipitous events, we ended up getting acquisition offers for the company. Really now they would be called aqua hires, but back then the term hadn't been invented.

And so we got an acquisition offer from a, bizarrely, a Canadian company that owned lots of e-commerce domains that was specifically looking for a tool to help businesses sell online, so they could just plug that into all of these marketplaces they already owned. That was one acquisition offer. The other one was from this company called Facebook.

Jessica: No way. I didn't know that.

Harj: In 2007.

Jessica: Harj, I did not know this.

Harj: Yeah. The full throw in this is, around this time, so towards the end of the year, we felt our morale was probably dropping a little bit. But at the same time, we felt like the thing we were supposed to do is go out and raise a Series A. We were like, you've been working on a startup for almost a year now. You raised a seed round, you're supposed to go out and raise an A. We should go and talk to investors about an A.

One of the investors we spoke to is this guy, famous now, he wasn't then, Chamath, the Facebook exec. At the time, he was at Mayfield. And Mayfield had offered us this deal where they're like, "We like you as a T, we don't like this idea. We would fund you for a Series A, but on the condition that you work on an idea that we pick for you." And so it was unusual, but they were like, "You would come and be in our offices for a few months. We'd brainstorm together, but basically we'd give you the A funding once we agreed on the idea, but we definitely want to fund you as a team." So, it was a bit unusual, but we said no to that.

Jessica: But clever on their part, recognizing what a good team it would be.

Harj: Yeah. I think that's what they saw. They saw it was a strong team. They saw that the idea they weren't excited about. And so I think it was basically an option for them. And understanding how VCs work now, they were just trying to basically, they were giving themselves a free option on doing an A in case we came up with an idea that they liked.

Jessica: Exactly.

Harj: But of course, they weren't committed to actually funding us if we didn't come up with an idea that they liked. And so that was how we met him. And then fast-forward six months, when we got this acquisition offer from this Canadian company, we ran it by him saying, "We just got this acquisition offer. We don't know anything about acquisitions. Do you have any opinions on this?" And he said, "Oh, well, if you guys are interested in selling, I'm now at Facebook. We would totally acquire you guys. So, why don't you come in and meet the team and talk to us?"

And so we came in, we met Chamath, Matt Kohler, a bunch of the Facebook execs. Don't think we met Zuck, but they basically came back to us. This was all actually over Christmas, which was very surprising to us. The fact that we were all just working over Christmas essentially. And they just came back to us and said, "We would totally buy you guys." And the Canadian company had offered us about 5 million bucks, which is about half cash, half stock. At the time, they were a public company. So we were like, "It's all liquid." And Facebook were like, "We'll match that, but we're not going to do cash. It's going to be all stock."

Jessica: Oh, Harj.

Harj: Well, here's what's interesting about it is that we were like, "Oh, okay." At the time, Kulveer and I are totally broke. We had no money. We never had any money. And so the thought of the company was called Live Current Media, the Canadian company. We're like, "Okay. We know this is not a life-changing amount of money. We're not going to

retire on it, but it helps me pay back my student debt. I basically will have some amount of financial cushion that I never had before." And so that actually, the cash actually means a lot to me.

And then we asked some people, actually, we asked Chris Sacca since he was our angel, what did he think of the Facebook deal? And he told us it was a really bad deal because Facebook stock was massively overvalued. Which was actually the conventional wisdom in late 2007. Because what had happened is Facebook was valued at \$15 billion in theory, but that valuation came from Microsoft investing in them at that valuation in exchange for Facebook guaranteeing an ad spend, like a guaranteed ad spend.

And so everyone told us, "It's a fake valuation. Microsoft just did it because they want the ad revenue. It inflates Facebook's valuation, but you shouldn't take it very seriously." And so this stock might not ever be worth this much in total. And so we compared these things. We've got this one thing, which is not a retirement amount of money, but certainly will make a meaningful impact on our lives. And then we've got this other deal, which is all stock, but everyone smart is telling us that the stock is probably overvalued and it's going to be like 10 years before it's liquid anyway.

And so we decided to turn down the Facebook offer and take the Live Current offer. Obviously in hindsight now, what was Facebook is what I think is probably a 100 x from that because it's 1.5 trillion now. So, that would actually have been a \$5 billion acquisition in theory.

Jessica: Oh, my god. Don't do that. Don't do that. Don't think.

Harj: No, no, no, that's wrong. No, no, that's wrong. Sorry. That's right, I got my math off by one. It would be like \$500 million, not \$5 billion.

Jessica: So I remember doing the Live Current deal with you Harj.

Harj: Yes.

Jessica: And I remember thinking this is the most random company, and I don't remember why I think this, but there was something about, they also had perfume brands or something so obscure.

Carolynn: Perfume.com.

Harj: They own perfume.com, beauty.com, body.com. They own all these-

Carolynn: Cricket.com.

Harj: Cricket.com, a whole bunch of random things.

Carolynn: Yeah, that was a strange deal.

Jessica: I love that I remember the domain names, but nothing else about that story. That's super surprising to me.

Harj: It was a weird company.

Jessica: But you know what? There's no shame in taking a deal that's going to have a meaningful impact on your life, which it did at your age, and you paid off some of your student debts. So, let's think very happy ending for that situation. Nice soft landing, as Ron Conway would say.

Harj: Yeah. Very soft landing. There you go.

Jessica: So, Harj, you have this acquisition and then you became, we at Y Combinator had a need to expand a little bit, have some more support on the team. Because it was really at that time, just Paul and I full time. And so we talked to you about coming on as a venture partner. How long was that between when you got acquired and when you came to YC to be really our first employee?

Harj: So, I stayed at Live Current for a year because that's how long we needed to stay for a year to get the final payout. And then between me leaving Live Current and coming to work at YC, I think it was about three months, something like that. And I remember what happened.

I was really set on doing another company. I was like, "Automatic was a cool experience. I learned a lot and we were lucky we got a soft landing," but it wasn't really a big deal, it didn't really turn into anything that I was proud of, and so I wanted to do another startup. And I had actually come to see you, you probably don't remember this, but I'd come to see you and Paul in Palo Alto, because I was applying for my green card and I needed reference letters signed. And so a green card would be a big deal because then I could just really work on a startup without having to worry about the visa stuff.

And you and Paul asked me, "What are you going to do next?." It was towards the end of the year, I'm like, "Well, I'm going to go back home for Christmas to England, and then I'm going to come back out in the new year. I want to start a company and I'm going to start talking to potential co-founders and start figuring out what I want to work on." And you both were like, "Okay. That sounds cool. Just stay in touch and let us know what you do."

And then I think two weeks later, I got an email from Paul saying, "Actually, Jessica and I were talking about it. YC needs to grow and that would involve having someone other than the two of us working on it. If you're going to come out to the Bay Area in January anyway, do you want to just try working at YC for one batch? Just follow me around for office hours, see how things work? It'll be an experiment for us to figure out if it even works having someone else around. And if you don't like it, then just go and do a startup." And we were like, "Okay. That sounds perfect."

And so I came out for the Winter 2010 batch. I don't even think I had the title venture, I don't even know if I had a title, honestly.

Jessica: It would seem like us not to give you a title. Oh, Harj is working here now.

Harj: That's how I remember it.

Carolynn: You know where I think you guys got that. I think you guys got that title because at the time, the paperwork for him, because I saw this, you were called a venture partner just in terms of the legal paperwork, but I'm sure nobody called you that around YC.

Harj: No, my actual informal title...

Jessica: No, you say Harj, what we actually called him.

Harj: My actual informal title was "bus inspector."

Carolynn: Right, right.

Jessica: Say why for the listeners.

Carolynn: Bus inspector being the phrase for someone that inspects the bus. And in YC culture, throwing someone under the bus meant making them do a meeting with someone.

Jessica: Okay. Let me explain. Paul and I are the opposite of Ron Conway, who loves meeting people and loves connecting. Paul bristles at meetings. I'm not very good with meetings. We just didn't want to have to meet people. And by Winter '10, we were having people, a lot of investors and things like, "Let's grab coffee and get to know each other and see how we could work more closely together."

And of course, Paul and my answer is always, "If you want to work more closely with Y Combinator, fund our startups. That's all you have to do. Simple. We don't need to have coffee." And so when Harj came on, we said, "Okay. You're a low person on the totem pole here. We're going to throw you under the bus to take all these grab coffee meetings. That's going to be part of your responsibilities, like cleaning the toilets and being with people."

No offense to anyone. I'm sure a lot of those meetings were important to YC, and we'll get to one very important one later. But so we said we're going to throw him under the bus, and then that morphed into the bus inspector. So, Harj has always affectionately been known as the bus inspector. But you liked it and then you stayed on.

Harj: Yeah, I did. I remember, so when I first came on, I think the main thing you both wanted me to do was to help on some of the workload of working with the companies during the batch and then helping pick companies and just that aspect of it. I think YC was clearly becoming popular, and it was just that the interest from founders was becoming more than just the two of you, I think could work on by yourself.

Jessica: Yes.

Harj: But the offshoot of the bus inspector stuff was that back then it felt like investors that there was some concern that we needed more investors. Investors needed to pay more attention to YC. It's certainly not how it is today where it's almost the opposite, where to some extent they're almost too interested in it.

But I remember Paul saying to me, "If anyone's a good investor, we need them to come and spend some time. We need them to come to demo day. We need to know what people are saying about YC," and that kind of stuff. And so I started just doing more talking to investors about YC and encouraging them to come to demo day and just pay more attention.

Jessica: You're totally right, Harj. I was joking around about it earlier, but it is absolutely true that we really did need to cultivate relationships with investors. Because as you mentioned, back in Winter '07, you only raised a couple \$100,000. We needed more investors to come to demo day. We were funding more companies each batch. We needed just more connections. And so we really did say, "You're going to be in charge of developing these relationships and inviting them to demo day. And if they're good, let's bring them to a dinner or something like that." So, I had been joking around, but it was an important thing.

Harj: Because the thing that I was trying to communicate back then is what I felt actually coming back to YC in 2010, which is going through it in 2007, it was really just largely a bunch of college students trying something out for a few months. Maybe some of them would raise some money. I actually just remember even during our batch, some people just stopped coming because it felt more informal than certainly YC is today.

But by 2010, when I came back just to hang out for that batch, there were people here who were very serious. They were very serious, intense personalities who were very serious about trying to build companies. And it felt like the wider world hadn't quite got that yet. I feel like there was still a perception of YC as there's always really smart engineers there. They're not always the most serious about raising money, building companies.

There'll be some cool technology, but I don't know as an investor if it's where I'm going to find the next Facebook. That seemed to be the general perception. And I had just felt myself coming back and said, "No, the intensity of people here is way, way up from 2007." And it just seemed like every time anyone actually came to YC, anytime any investor just spent some time at YC in person, they were all so just blown away by it. "This is not the thing that I had pictured. It was from a few years ago. These are some very serious, intense founders who we didn't associate with YC."

Jessica: Yeah. Then there was one investor who was new to the scene who you took a meeting with, who had a very interesting proposition. Will you tell that story?

Harj: Yeah. So, one of the buses I was inspecting was Yuri Milner, the Russian billionaire founder of DST, which I think now invested in pretty much all the huge companies, like Facebook and Airbnb. But I think he had, this is 2012 now, I guess. And so he'd emailed in saying, "I'd really like to meet Y Combinator." And he got redirected to me and he came into the YC Mountain View office, his number two person, this guy called Felix, who I'm sure you met.

Jessica: Oh, yeah.

Carolynn: Everybody remembers Felix.

Harj: Yeah. So, Yuri wants to meet. He comes to the YC Mountain View office and I'm like, "Nice to meet you. How can I help?" And he just immediately says, "I want to invest in all the startups," just his Russian accent. I really didn't know what he meant. I'm like, "What do you mean?" He is like, "I want to invest in all of your startups." "Right now?" And he actually just proceeded, he was like, "Yeah, I'm serious." He wanted to invest in all of the companies in the batch, and he was like, "Whatever terms they want, I will give them the same amount of money. I'll just do it. Why not?" Just invested in more.

Jessica: This is so crazy and so awesome.

Harj: I know. And then Paul was out in the back of the Mountain View office doing office hours just trying to avoid where I was, because he is worried about getting sucked into having to meet with someone. But I had to go out and get him and say, "This is one you should actually come in for this bus. This one is actually quite interesting."

And so he came in and they just realized he was really serious. And I think then basically, I remember Carolynn and John came in over the weekend, maybe two, to get that all papered and done. And then the following week we just did this mystery announcement to the batch saying, "We're doing a Saturday evening dinner or something to make a big surprise announcement." And the announcement was that everyone is getting funded with, I forget, it's probably like 100,000, 120,000.

Carolynn: 100,000. It was something like that.

Jessica: I'm pretty sure it was 100. Yeah.

Harj: Which is a big deal because-

Jessica: It's huge.

Harj: ... YC itself was probably averaging like 20,000 at that point, right?

Jessica: Yeah. It was a huge deal. Huge. And actually we've had several guests on the show who were in that batch. Eddie Liu of GOAT said, "I didn't even cry when my son was born, but I cried when they made that announcement." And we talked about how Yuri came in, or I talked with you about how Yuri had come in on wheeling on the robot.

Harj: Yeah. Because Yuri had to leave. He comes in, drops this bomb, and then just heads out. And then for the announcement, he couldn't be there. But he was on the-

Jessica: The double bot.

Harj: Yeah, the double bot. That was it.

Jessica: The double bot. Yeah. It was funny.

Carolynn: Wait, so Harj, really quick. You guys went to Moscow, but was that later? That was for some other thing because the Moscow story is funny too.

Harj: That was a totally different boondoggle. That was me, Gary, Paul Buchheit, and Aaron Iyer, who was a partner at the time. That was totally separate to any of the Yuri stuff, I think, but we happened to meet him while we were there. But that was the Russian governmental reason, trying to get into startups and host a tech conference.

Jessica: Okay, okay. Okay.

Harj: It was a fun trip. It was a very fun trip. It was definitely bizarre. But the bizarre thing was it wasn't clear he was organizing it. And then I think the deeper we got into it, the more we realized that there were more connections to Putin than we had anticipated. And then we got called in to the US Ambassador to Russia, just out of nowhere, just said that they wanted to meet us. And so then we went to the house and they just asked us a bunch of questions about what exactly we were doing here and who had invited us. And they were just very, very curious.

Carolynn: Oh, my gosh.

Jessica: Suspicious.

Carolynn: All I remember was that you guys came back and we were like, "That was totally wacko."

Harj: It was definitely wacko.

Jessica: So, I'm going to talk about a sad moment in our lives, Harj, because at one point, and you'll have to remind me what year it was, you said you wanted to leave YC to start a startup.

Harj: Yes. That was-

Jessica: And we were happy for you. We were just devastated that you were leaving YC. Can you tell us about that? Do you remember why you left?

Harj: Yeah. I think I definitely remember why. It was very specifically I wanted to do a startup, and I think I've reflected a lot on the why. I left before I knew exactly what startup I wanted to start.

Jessica: I remember this, I remember this.

Harj: Which is in hindsight was the wrong decision. I would never advise anyone to just do a startup because they want to do a startup. I think for me, I had started working at YC at probably just an unusually young age. I think I was like 25, and I think I was the same age as most of the people we were funding. And so my social life was just very intertwined with YC and everyone we were funding.

And I just felt like all of my friends, I was at this point where all of my friends were running companies, and I actually think a big motivator for me was seeing them grow with their companies. It was just the companies would start taking off, and then they themselves, they have all the experiences from building these things and growing and scaling. And that's just an exciting journey to be on, and it's probably not something I want to do when I'm forty.

Not that you can't, I'm sure people do, but I was like, this seems like something that if I'm going to do, I should do now and not have regrets later about I really wish that I'd started a company when I had the chance to when it was easy to do. And so that was the main motivating factor for me, was I'd been at YC probably coming up to four years at that point, which was way longer than I'd ever intended to stay.

And it just felt like I was getting older and I wanted to go and build something and take a shot at building something again. But it was definitely really hard because I loved being at YC. Both everyone that I got to work with and also just YC itself was clearly growing and becoming a serious institution in the way that I don't think anyone would've predicted.

Jessica: What year was this? 2014?

Harj: 2014. Yes, I think it was 2014. I spent some time thinking, I was playing around with different ideas. One of the ideas was a blood testing idea. So basically just make it easy for people to order comprehensive blood tests and a health checkup and get personalized health advice was one of the ideas.

Jessica: Kind of like Instalab, Adora?

Harj: Yeah. Actually exactly what Adora is working on right now.

Jessica: That's what I was thinking.

Harj: Essentially that idea. But it wasn't the one that I landed on to start a company around.

Carolynn: Right.

Jessica: Then how did you land on Triplebyte? And tell the listeners what it was?

Harj: Yeah. So I spent a little bit of time, I left YC and I spent a little bit of time on what are just some areas or things I might be interested in working on? And healthcare was definitely one of them. But I realized that the thing that was actually more important was to find people to work with and have co-founders. And so I had two people I had met through the YC universe, of course, Ammon and Guillaume, who had started Socialcam with Michael Seibel, who's now also a partner at YC.

And they had sold Socialcam and were coming up to the end of their vest and they wanted to start another company too. And so the three of us just spent some time, let's talk about ideas. And the healthcare idea was one of those, but the idea for Triplebyte came out of we wanted to work on something that we felt we just knew something about, and we knew how to go out and get customers and users and test quickly if it was a good idea or not. The idea for Triplebyte was everybody we know who's especially running companies, their number one problem is finding good engineers. Hiring engineers is the number one problem that every startup or tech company has.

And that the way hiring works is everybody wants to hire the MIT engineer and is obsessed with hiring the MIT engineer. So, if you're an MIT engineer, you have no issues getting job offers. But for everyone else, it's really hard to figure out who's a good engineer and who's a bad engineer. You can't really tell from the resume, and recruiters aren't technical themselves, and so they don't really know how to tell the difference between someone who hasn't got the right credentials. How do you know if they're good or not?

And so we felt like, well, what if you could just use software to do that? What if you could use software to tell if someone was a good engineer or not, and give that data to the recruiter, so they could hopefully find good engineers to hire that don't necessarily have the MIT credential on their resume?

And this was just like, well, if you could do that, that would also be really valuable, because we know recruiting firms make lots of money. It's such a valuable problem to solve that people pay you lots of money if you help them hire good engineers. So then we were like this is something we know a lot about. We know how to tell if someone is a good engineer. We have all the customers lined up for it already. Pretty much everybody that we know who's running a company or anyone who's in Silicon Valley building software needs to hire more engineers.

And so Triplebyte was the, if we start this and the way we would start it is a very simple test online that we would have engineers do. And we ourselves will manually just review the results of this test. We just interviewed hundreds and hundreds of engineers, but the big picture goal was we're going to do this all manually. This was very much YC's do things that don't scale.

We were like, we are just going to do lots of manual interviews and we are logging everything that's coming out of these interviews with the goal of building software to just automate these interviews. So, eventually we didn't know exactly when, maybe in two, three years' time, we wouldn't even have to have humans doing these interviews.

We would just have software that was as good as a human telling if someone was a good engineer or not.

Jessica: Yeah. I remember there was such a need for good programmers and Facebook was an example doing all these acqui-hires just for the programmers. So, this was a very exciting idea.

Harj: Yeah. And then the other aspect of it was there was this whole concept of Software Eats the world, where every company was basically becoming a software company. So, you had banks who were starting to hire software engineers because they needed good mobile apps to compete. We were saying this is going to become a thing, and software engineering is just one of the fastest growing professions you can be in. And so it just felt like a thing we knew a lot about that was already a big problem that would become a big problem in the future.

Jessica: So, arguably your startup was at the heart of the intake of programmers for these companies. What did you learn?

Harj: Okay. What we learned is that it's actually incredibly hard to consistently figure out which programmers or which people, frankly, any company wants to hire, because companies themselves have a very fuzzy picture of who they're hiring. And actually a lot of it often depends on the softer skills. Just how do you come across? Are you someone that you want to work with?

We felt for programming, maybe that's not as important. There's this hard skill, and if you just evaluate the hard skill, that's probably the core piece of it. But we would learn that actually companies care a lot about this intangible factor that's hard to reduce into data and consistently deliver them people that they actually want to hire. So, this is a much harder problem than we had thought. There's more to it than just telling if someone is a proficient programmer or not. There's other stuff people care about.

And then also just companies themselves with different people at the same company wanted to hire different people. It was a very hard problem to deliver this. The experience we wanted to deliver was you know that if someone passes a Triplebyte test and that they're matched with you, that that's someone that you are almost certainly going to want to hire. And that was, in practice, very, very hard to deliver.

And I think what we learned was one thing I was inspired by working at YC is, if you look at some of the really big YC companies, like Stripe, or Gusto, Rippling, PagerDuty. A bunch of these companies had grown by servicing other startups. And we were like if you can build a software that every other startup uses, you can grow really big like that. And so we're like hiring is this big problem. They all need to hire software engineers. Triplebyte can just be the software that helps them do all of that.

But I think just what we found was that running payroll is a more deterministic thing. You can put that into software, or processing payments, you can put that into software. But hiring people is something that's very core to the identity of every company and they

have very strong opinions on it. And just outsourcing that in the way that they do running payroll or processing payments, which is much harder than we expected.

Jessica: Okay. Harjeet, I'm going to ask you about a controversial topic that maybe now we can talk candidly about, you tell me. Paul told me that you noticed a trend with companies. That some companies would start out judging candidates based on the data and the tests, but ultimately almost all of them lowered their standards on the test to get more diverse candidates.

Carolynn: Controversial.

Harj: Yes. Okay. I've never spoken about this publicly. I've always wanted to actually, I would happily talk about it. And this is actually, to be very candid, a big part of the reason. So, I ran Triplebyte for four years and then I stepped back from being the CEO, frankly because I was burnt out, and this was the single thing that really burnt me out. Basically, I started Triplebyte because I was really excited about this mission of just giving people access to opportunity is just really good for the world.

I think that's a really clear leveling field, and that's why I have such an attachment to YC. I think YC is this ultimate thing that just equalizes access to opportunity. I was from an immigrant family in England and got access to this incredible network, and it has totally changed my life. And YC did that for so many startup founders, and so I was really excited about doing that for Triplebyte.

I was like if we can actually just figure out who's good, and have a more objective measure of skill, you could get people hired at companies that they would never have otherwise get hired. And we had some really good success stories like this.

I remember this guy who got hired by Instacart, who was working in a warehouse stacking shelves. And his Instacart interview was his first time meeting another software engineer in person. And so to go from stacking shelves in some warehouse to getting pre-IPO Instacart stock five years ago, I think that's pretty good for the world. But coming back to your actual question.

Around, I think we can talk about this stuff now. But around 2016, 2017 is where I felt like the culture wars really started taking off, where diversity in tech rightly became a really, really important issue. But the thing that was really tricky for Triplebyte is that it felt like every company was looking for who to blame for their diversity numbers not being what they wanted them to be. As opposed to trying to really go in and be like what is this, how do we get more applicants?

It felt like a lot of blaming of it's the fault of our interviewing processes are biased, or the sources we're using are biased. And so we got a lot of heat from recruiting teams that you need to send us more diverse candidates. And we're like we don't pay any attention to demographic stuff. Anyone can sign up. All we do is just select people based on the test scores and we send them out. It's a platform. And we would just get a lot of very

ambiguous messages coming back from recruiting teams about, yes, no, we absolutely only want people who score this much.

We only want the top people on your tests, but we could always make exceptions. And it was like, so I think what you actually want is for us to send you more diverse candidates, which is fine, we'll do that. But then there's just going to be a trade-off there because we're now incorporating a factor that we don't test. We don't incorporate this in our screening or our matching algorithm, and if you want us to do that, that's fine. But no one would actually want to explicitly say that's what they wanted. So, it just felt like a lot of very difficult conversations. And then the peak of it was, do you remember James Damore?

Jessica: Oh yes, Google. Of course I remember that.

Harj: So, James Damore wrote that memo, got kicked out of Google and was basically just unhireable. So, he signs up for Triplebyte and it was very controversial internally at the company, where he signs up, he does a test, he does great. He's a great engineer. And so the way it worked at Triplebyte was if you did the test and if you passed the test, then we just auto create a profile for you and you were just on Triplebyte, and now employers could reach out to you and be like, you scored really well in this, we want to hire you.

As soon as it popped up that James had completed the Triplebyte test, half of the company was like we absolutely cannot. We're going to quit. But basically half of the company, and this includes the, it wasn't actually broken down by gender demographics. It was just half the company that was like, "We're going to quit if James is allowed on the platform because this is totally wrong. We should not let him on."

And then the other half was like, "We're going to quit if you don't let him on, because it's not our job to pick people based on their political view or whatever". If no one wants to hire him, they won't hire him, but we shouldn't be in the business of-

Jessica: Screening.

Harj: ... centering who, yeah, screening based on this stuff. And that was just very difficult for me. And I actually just really remember, just to be frank, what really helped is one of our female employees, she really just stood up and took a stand and just said, "I personally think this is wrong. Maybe I don't agree with his views, but that doesn't mean we shouldn't let him have a profile on Triplebyte. And if people don't want to hire him, then they won't hire him."

And so we did that, we let him on, and then I immediately started getting called by recruiters who saw his profile, and I had people just break down on the phone to me saying that this was the equivalent of letting murderers on the platform, that we have no morals.

Jessica: What?

Harj: Yeah. That I was clearly a misogynist and that they were going to go out of their way to completely destroy the company and make sure no one ever used us again, and this was just a huge mistake. It was a very, very intense reaction. I think that was what the climate was like back then.

Jessica: I think so too. It was a bit irrational, frankly.

Harj: And I think what frustrated me is I saw a bunch of Triplebyte competitors who just started jumping into diversity hiring as the bandwagon for it. It was certainly what people wanted, but I didn't feel like they were actually solving the problem in any way. I didn't think anyone was trying to look at it as a what are the actual root causes of why there are more male programmers than female programmers? How do we solve that?

And I remember once saying to a journalist who was talking to us about it. I said something in the direction of, "It might start further upstream. It might start with just education and interests that people have." And she was like, "Okay. I'm going to go off the record here. You should never talk about anything like that. You cannot say this is a top of funnel problem. You basically just have to say that everyone is biased and sexist and that's why there's a gender imbalance in the tech industry."

I was like, but I don't think that's what I'm seeing. I actually think that from what the data that Triplebyte has is that companies are so hungry for diverse candidates, that they're trying to get as many of them in their funnel as possible. And I actually don't think that they're biased against them at the interviewing stage.

I actually think that once you get a female programmer into the interviewing stage at many of these companies, they're very likely to get an offer because people really want to hire them. I don't think that's where the problem is. The problem is there's just not enough of them to get in, to get to a balanced gender demographic on an engineering team.

Jessica: Harj, I can relate to this. I, as you know, did a lot to try to encourage more women to start startups and help them. But I stopped talking about it because I would say, I think in my opinion, the problem is more women need to learn to program at a younger age. Then that will increase the funnel for Y Combinator female founder applicants. Then we will fund more. It just seemed so reasonable to me, but you can't say that, but maybe I can now.

Harj: I felt, yes. I think it's easier to say that now. And I just think that in that particular climate, it felt like you were constantly walking on eggshells because if you said the wrong thing, you would just get destroyed and canceled immediately. Like what happened to James Damore. I think the guy just shared what he genuinely believed, and maybe he was wrong, but he was just sharing what he thought. And I don't think he realized it would cost him his entire career in sharing it. It just felt like a very intense time.

Jessica: Did employees at Triplebyte quit because you posted his resume?

Harj: No, in the end, no one actually quit. The real heated moment was just, it started off as not a gender thing. It started off internally to provide an ideological divide between half the company was like, "It's not fair for us to screen or filter this way." And half the company being like, "It's wrong to have him on there."

But then it did basically become a gender thing, where I think a lot of the females, there was a decent number of female employees who took on the we speak for the women at Triplebyte and we think this is absolutely wrong. And the female employee I mentioned before was the one who was like, "Actually, I'm a woman and you don't speak for me, and this is my opinion." And I think that just really defused the situation a lot.

And so no one ended up quitting and ultimately he didn't get hired, because I knew in hindsight that it was very unlikely anyone was going to hire him. I just felt very strongly it was the wrong move to not have him on the platform. It was not like we were going to hire him. It felt like the wrong thing and then it just fizzled after that.

Jessica: I know we're running low on time here, but we still have some stuff to cover. I wanted to ask two more related questions. In your business at Triplebyte, your business was to know how good the candidates were. So, first, did you have a cycle where you tested how they performed at the company that they got hired at? Because then I'm going to ask you about judging candidates versus judging founders and if it helped you?

Harj: It's an interesting question. I think the big picture vision for Triplebyte was definitely we're not just going to predict who you want to hire. We're going to predict who actually does well at your company. And so that would require getting information back on how you perform at the company over a period of time. The reality is we never got there.

I think we didn't get there because day to day in a startup, you're just chasing growth and survival. And I think the thing that we really ended up doing was really being focused on how do we predict accurately who's going to do well at the interviews at these companies, which is also not perfectly predictive of how well they go on and do. But that's the product that we built, and I think we just never got around to building the next step of that, of how do they actually perform at these companies during the time.

I think it's really because we found that just accurately predicting how well someone does at the interview at a company was already hard enough, and was actually going to take years to do well before we could add in the next piece.

Jessica: Okay. So, you decided to leave Triplebyte?

Harj: Yeah. So again, like we were talking about, we were four years in, had raised a series B. Just frankly, I realized Triplebyte was just in the middle of a culture war and there was a lot of stuff about running the company that I actually just hadn't really signed up for when I started the company, and I wasn't necessarily finding it very energizing. And I needed to think about, well, do I have another five years in me?

And there was another aspect of it was actually we needed to reset our business model. We'd built this business that charged a fee per hire, but it wasn't scaling because companies would churn off because it got too expensive. The details don't matter here so much as we did a big reset on our business model. I was feeling a little bit burnt out from it, and I knew that it probably needed at least another five years to get to an interesting place.

My co-founder, Ammon, was actually just a lot more excited. Well, I think one, excited about the opportunity to just run a company being in the CEO position. And two, he was actually personally more interested in just the issues and scaling the company. And so after a series of conversations, we decided I would just step back, stay on the board and be involved as an advisor, and he would step in to being the CEO of the company.

Jessica: Okay. So, then tell us how you came back to the nest of YC.

Harj: Yeah, back to the nest. Well, at this point, I knew I didn't really want to do another startup or I couldn't even imagine doing another startup. I was like, "All right. Got that out of my system." And then I spent a bit of time thinking about, well, I took some time out. It was personal stuff. I got married, just my personal life was in a better place.

And then deciding what I wanted to do next, I knew that I didn't want to start a company, but I love startups. I love helping people start companies. I felt like I knew lots about that. Really honestly, once I knew that's what I wanted to do, it wasn't that hard to figure out that YC is where I'd want to do it. Because the other options were to go join a traditional VC firm, start a fund, just do probably a more traditional investor role.

And I knew enough people in that field to know it probably wasn't really for me. Being a traditional investor is a little bit more of a sales role, frankly. You're trying to convince LPs to give you money. You're trying to convince founders to take your money, because you're trying to invest in the hot deals.

Whereas, YC has always felt a lot more like you don't have to do that. You're not trying to invest in the hot deals. You're trying to find the diamonds in the rough, and they're really happy that you actually want to give them money. And you get to be more of a teacher and a coach than you do an investor, and you're just more aligned with the founders. So anyway, that was the reason why I was like, well, if YC would have me back, then I would love to come back after about six months out.

Jessica: Okay. So, what year was it that you came back?

Harj: Funny enough, 2020. So, I had agreed to come back in March 2020, and then COVID hit.

Jessica: Oh, my God. Wow.

Harj: Put a spanner in the works. I came back, but to YC on Zoom. I didn't see anyone in person for about a year or a year and a half. Everything was all remote and virtual.

Jessica: You know what, if anyone's going to come back into the scene though, thank God it was you, because you knew most of the people, you knew how it worked. It must've been much easier for you to adapt to a Zoom-like existence.

Carolynn: That's a great question because, so you had all your YC experience from the first go around, you had all your Triplebyte, and now you're actually interviewing YC startups on Zoom. So, how did you apply all that to that process?

Harj: I think the experience of having done YC the first time around definitely helped me with the interviewing piece at least. I felt like I learned so much from the first time at YC of just being in the room with all of you and everyone who was at YC, all the YC partners and just absorbing. It was the conversations in between interviews and learning about how to pick good founders.

And so I think that would've been really hard to do over Zoom. And so I already have, I think a little more context on picking founders that gave me some context that was useful for coming back into a Zoom YC. The Triplebyte experience, it's interesting. I'm not sure how, to be honest, I think it probably, it didn't really map onto picking founders maybe as much as I had thought.

Because so much of the Triplebyte thing was trying to extract out the objective skill, can someone objectively solve a programming problem in a particular amount of time? Whereas, I think with being a founder, there's certainly a threshold. There's a certain threshold of intelligence and understanding technology and being able to build software that you need to be over to take a real shot at building something interesting.

But after that, it's as much about how articulate you are. How well can you explain your idea? How excited do you seem about what you're doing? Do you come across as a compelling person? That just was not something we were trying to analyze with Triplebyte at all.

Carolynn: Interesting. Okay.

Harj: I think it's a very different sport.

Carolynn: Yeah, makes sense.

Jessica: So, Harj, having been at YC in 2007 to now it's 2024, tell us about anything interesting, the differences. Why should someone apply to YC now versus back then? What's going on?

Harj: I think you both obviously see this too. It's just from the early days of YC, we were talking about earlier, where it was being a bus inspector, which was trying to convince people to take YC seriously and just pay attention. Whether it was like an investor or whether it was AWS and Amazon, trying to convince them to give credits to the startups because these startups one of them might be really big and it would be worth it someday.

I think now fast-forward, YC is this incredible brand that everybody wants a piece of. And so a big part of the reason to do YC today that didn't, or a new reason to do YC at least, is that you just get access to so many, investors will want to invest in you, but I think it actually helps with customers at this point too. YC is such a brand that even customers are like, "You're a YC funded startup. Then you're not just some random startup. I can probably trust that you'll have at least enough funding to be around for a couple of years."

And so I think that's just all brand new to me. I think also just the quality of the people in YC just keeps getting higher and higher, because I think the more that that takes off-

Jessica: Hey. No, I won't take offense. I won't take offense.

Harj: No, I meant the founders.

Jessica: Oh. Okay. I thought you meant the quality of people working there.

Harj: No, I meant the founders.

Jessica: Okay.

Carolynn: Good recovery, Harj, good recovery.

Jessica: I believe you. The quality of the founders is off the charts. Amazing.

Harj: Yeah. Because you just have more, if you think when you and Paul were starting in 2005, there were no success stories to point to. And now there's at this point, even if you just randomly select a list of the top startups in the world, a good chunk of that is going to be YC companies at this point. Who are the people that are running the world at this point? Like Sam Altman, Patrick Collison, Brian Chesky, they're all YC founders.

Carolynn: I'm wondering if you have had to inspect any buses since you've been back at YC?

Harj: No, interestingly. I've not followed the job description anymore.

Carolynn: Nice.

Jessica: Are we going to offend 100 people? Is Harj going to get in trouble?

Harj: Oh, no. It's 12 years ago, I'm sure they're all fine. I was going to say, no, not so much at this point anymore. At this point, really there is no need to inspect the buses honestly. If anything, it's turning people away. There's too much investor interest almost at this point. And if anything, you're asking the question about what's different about YC?

The brand is definitely, it is fantastic how the startups get access to all these opportunities, because it's so well known. On the other hand, it's so much of the core thing that made YC work well in the early days was this environment of just relentless

focus. It was actually you can just blow everything off and you can literally just write code, talk to users the same, just do that for three months and nothing else, and that's how you get an inhuman amount of work done.

And now I think it's almost like actually we have to teach people to tune that all out because there's more distractions than ever. Actually, no, you don't need to talk to investors at all. You don't need to talk to people who want to do biz/dev partnerships or just want to talk to you because you're a YC company. That's something that's new, is teaching founders, don't get distracted.

Jessica: Do they listen to you, Harj, when you give them this advice?

Harj: I'm sure not all of them do, but I think more and more. I feel like there's been a swing back. I feel like maybe these things always go in cycles. I feel like there was a point actually during the remote era when I came back to YC and things were getting really crazy with the stock market run up, and Zuck and everything getting funded and just madness everywhere. I think that was maybe the peak of people were just like, we're just going to come in and talk to investors and raise money and that's all you need to do to be successful is raise lots of money.

And then I think so many of those companies crashed and burned. There was a big reset. And especially over the last year or two years at YC, it's felt like a real return to just the real earnest nerds, who aren't excited about all that stuff so much anyway. And will actually listen when you say, "Just because you talk to investors and raise lots of money doesn't actually guarantee you anything. It would be better for you to just spend time figuring out the product and building really cool stuff and then go and talk to investors." I do feel like that they do listen more now than they did during the peak 2021 craziness.

Jessica: That's good.

Harj: Also, being in person, YC is back to being in person. So, I think just totally everything is in person, and so I think you're just more likely to listen to someone when they're in a room with you giving you this stuff than a face on Zoom.

Carolynn: That's so true.

Jessica: Harj, last question for me. Are your parents proud and happy for you with this path that you've taken?

Harj: Yeah, now they see it now. It's worked out really well. I'm clearly excited. We have a great life out here in Palo Alto now. And so-

Jessica: That's right.

Harj: ... they're happy to come out.

Jessica: Double yay.

Carolynn: I think once you gave them grandchildren, it all would've been forgiven no matter what your career path was, right?

Harj: That is true. Grandchildren help.

Carolynn: That's the way parents are.

Jessica: Oh. Harj has a podcast that he does called The Lightcone Podcast with Gary, Diana, and Jared of YC. I want to put in a plug for that-

Harj: Thank you.

Jessica: ... because it's really good, Harj.

Harj: We have a lot of fun.

Jessica: Do you like doing it?

Harj: Yeah. Another thing that's great about YC is the people who work there, the partners, and so it's just the four of us just talking about stuff we'd usually talk about, and then sometimes we bring on guests, Jessica has been a guest. And so I think it gives you just a sense of what it's like, the YC vibes. It's just a bunch of nerds talking about things, and it's just fun and happy.

Carolynn: Yeah. That's nice.

Jessica: And interesting, useful information, so I highly recommend that.

Harj: Thank you.

Jessica: Well, Harj, I have had so much fun catching up with you and learning a lot that I didn't know. It was fascinating today.

Harj: Long history.

Carolynn: Long history.

Jessica: Long history in the YC orbit.

Carolynn: I will just say Harj is a delightful colleague, so very happy that we are co-workers.

Harj: Thank you.

Carolynn: Very happy he's back at YC.

Harj: Feeling is mutual.

Jessica: Well, I can't wait to see you back in Palo Alto, and thank you for coming on the show today.

Harj: All right.

Carolynn: Thank you, Harj.

Harj: Thanks for having me. It was so much fun.

Jessica: All right. Bye.

Carolynn: Bye.

Jessica: Carolynn, that was so much fun catching up with Harj. That was fascinating.

Carolynn: Well, the thing is Harj probably has 5,000 more stories he could have told, but we didn't have the time. But he's got so much old YC folklore and funny stories, and he's so funny and he's a great colleague to have.

Jessica: He's the best. And I have down here funny stories with a question mark, and I didn't get to ask him any because there was just, I think, too much to cover. And actually we went down some interesting paths, Carolynn, that I had not expected.

Carolynn: I don't think I'd ever heard that story about James Damore and Triplebyte. Maybe I did know it and I just forgot about it. It seems like he's just been sitting on that for a while.

Jessica: I thought that was fascinating. I had no idea about the James Damore thing.

Carolynn: Well, and I remember when it was happening, and it's obviously very fraught and very complicated. But one of the things that happened just being at YC, John and I encouraged both kids to learn to code, and they did. They used a YC startup, they learned to code, and I just think people just need to be okay with this. My son loved it and still continues to do some coding on his own. And my daughter was like, "I'm so happy I learned this. It's super interesting, but I don't love it. I probably won't do it anymore."

And that's just the way it works, right? It's interest level. And I don't even mean to say that that's necessarily a gender thing. It's just that some people like to code and some people don't. And so it just is what it is, right? Anyway.

Jessica: It is what it is. And you can't argue with people's genuine interest levels in things.

Carolynn: Exactly.

Jessica: But that was all very interesting to talk about. And I had no idea about the Facebook offer. I did not. I'm going to ask Paul if he remembers that.

Carolynn: He probably will actually.

Jessica: I feel like he might not.

Carolynn: Oh, maybe not. I don't know.

Jessica: I'll ask him.

Carolynn: Okay.

Jessica: I just have to say, Harj has always been one of my favorite people. And he's also someone whose opinion really matters to me a lot. He is very pragmatic and I trust his opinion on things.

Carolynn: And he has good judgment too, which I really appreciate.

Jessica: So, I'm so glad that he's back at YC.

Carolynn: Yeah, exactly.

Jessica: I loved walking down memory lane with him today. So, I hope that listeners enjoyed it too.

Carolynn: Yeah.

Jessica: All right. See you Levy. I'll see you next time. Bye.

Carolynn: Bye.